EQUITY RESEARCH · COMPANY DEEP DIVE

Mastercard Incorporated (MA.US)

Financial Services · Credit Services

Large Cap (>$200B) · Report Date: November 09, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-11-09

UNDERWEIGHT

Composite · Valuation: SELL

Target $533.18 · -18.7% upside

Price $655.81

INVESTMENT HIGHLIGHTS

- **SELL** — blended target $533.18 (-18.7% vs $655.81); DCF 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation
- Moderate revenue expansion (14.0% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT $533.18	45%
FSA	Stable	Health +0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.55 · 12m +20%	15%
Composite	UNDERWEIGHT	Score -0.18 · 50% confluence	—

Valuation anchor: -19% upside vs target; valuation rich but trend improving — wait for confirmation.

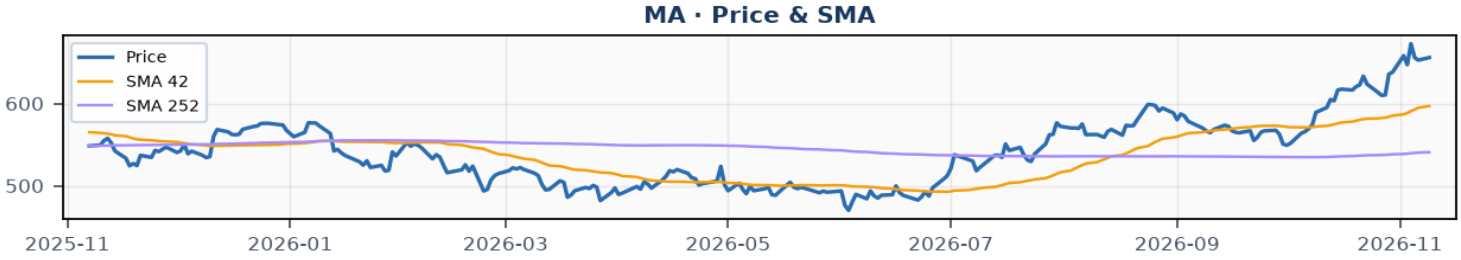
INVESTMENT THESIS / EXECUTIVE SUMMARY

Mastercard Incorporated (MA) — Financial Services. Mastercard Incorporated, a technology company, provides transaction processing and other payment-related products and services in the United States and... **SELL** rating; blended target $533.18. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$571.33B	Shares Out.	864.7M
52-Week Range	$464.52 – $681.99	P/E (TTM)	34.3x
P/B	84.7x	Beta	0.77
Avg Volume	3.00M	Analyst Rec.	Strong Buy
Revenue (TTM)	$36.29B	Rev Growth	+14.0%
Op. Margin	60.5%	FCF (TTM)	$16.43B
Gross Margin	100.0%	ROE	2.3%
EV/EBITDA	25.3x	Debt/Equity	355.2%
EPS (TTM)	$19.11	Div Yield	53.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	28,167	32,791	37,382	41,326	44,687
Revenue Growth (%)	N/A	16.4%	14.0%	10.5%	8.1%
Net Income ($M)	12,874	14,968	17,064	18,864	20,398
Gross Margin (%)	76.3%	77.9%	100.0%	100.0%	100.0%
Net Margin (%)	45.7%	45.6%	45.6%	45.6%	45.6%
EPS ($)	14.89	17.31	19.73	21.82	23.59
P/E (x)	44.05	37.88	33.23	30.06	27.80

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$596.89	Short-term trend	12m Momentum	+19.6%	
SMA (252d)	$540.73	Long-term trend	3m Momentum	+17.3%	
RSI (14d)	62.3	Momentum oscillator	Ann. Volatility	23.7%	
Trend	Bullish		Sharpe Ratio	0.41	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-28.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	+15.2%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$596.89, SMA252=$540.73	Quant Score	+0.55	POSITIVE
			SMA Backtest (ann.)	15.6%	B&H; 20.9%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$487.38	-25.7%	80%	Included in blend
Comps — Blended	$281.84	-57.0%	0% (excluded)	Diverges below other methods (47% of median)
Analyst consensus	$716.39	+9.2%	20%	Included in blend
Blended target	$533.18	-18.7%	100%	DCF 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
8.24%	1.91%	12.00%	$421.41B	$487.38	-25.7%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AXP	American Express Compa	$217.47B	18.3x	N/A	16.8%	+11.3%
PYPL	PayPal Holdings, Inc.	$49.88B	11.5x	8.2x	13.8%	+2.0%
COF	Capital One Financial	$119.45B	12.2x	N/A	22.2%	+6.2%
DFS	DFS	N/A	N/A	N/A	N/A	N/A
MA*	Mastercard Incorporate	$571.33B	34.3x	25.3x	46.7%	+14.0%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Moderate revenue expansion (14.0% YoY); High operating leverage (60.5% margin); Defensive profile (β=0.77) · Risks: Elevated leverage (D/E: 355%) Strong revenue growth; high operating margins; elevated leverage; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.